In the Swiss formula, tariff cuts are proportionally higher for tariffs which are initially higher. For instance, a country which has an initial tariff of 30 per cent on a product will have to undertake proportionally higher cuts than a country which has an initial tariff of 20 per cent on the same product.

In the on-going multilateral trade negotiations at the World Trade Organisation (WTO), it has been decided by all participating countries to use the Swiss formula for reducing import tariffs on industrial goods. After a long-standing debate on the number of reduction coefficients to be used in the formula, a unanimous decision was recently taken that there would be two sets of coefficients–one for the developed countries and another for developing countries. A decision on the value of the coefficient is yet to be taken.

India's average tariffs are much higher than those existing in the developed countries. If a linear formula for tariff reduction was used, then its reduction burden would have been proportional to that of developed countries. However, using a Swiss formula could lead India to taking on a greater reduction commitment than its developed counterparts with lower initial tariffs.

India agreed to a Swiss formula because it was decided that developing countries would be allowed to have a higher reduction coefficient than developed countries which could lower their tariff reduction obligations.

A reduction coefficient is part of the Swiss formula. It has a very important role to play in deciding the final reduction commitment. If all other variables in the Swiss formula remain unchanged, then a higher reduction coefficient could lead to lower reduction commitment and vice versa.

India wants that the reduction coefficient for developing countries should be much higher than the coefficient for developed countries. The difference should be enough to negate the effect of the original Swiss formula which weighs in favour of developed countries with lower initial tariffs. It has proposed that a difference between the coefficients should be at least 25 points to ensure that the reduction burden on developing countries is not higher than that on developed countries.

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